



GOVERNMENT OF BALOCHISTAN  
PUBLIC PROCUREMENT REGULATORY  
AUTHORITY

Dated Quetta the 02<sup>nd</sup> June, 2020.

**NOTIFICATION**

No.B-PPRA/1-31/2020/ 650-63 . In exercise of the powers conferred by Section 28 of the Balochistan Public Procurement Regulatory Authority Act, 2009, the Balochistan Public Procurement Regulatory Authority is pleased to make the following regulations:-

1. (1) These Regulations may be called "the Balochistan Public Procurement (Framework Agreement) Regulations, 2020".

- (2) They shall come into force at once.

2. In these regulations,—

- (1) The choice of "Framework Agreement" available to a procuring agency shall be the:

- (a) Closed Framework Agreement with rates.

A procuring agency may enter into a framework agreement with rates following the procedure for open competitive bidding in accordance with rule 24 of Balochistan Public Procurement Rules, 2014. An approximate quantity of required goods, works or services during the period will be indicated in the Notice Inviting Tenders, but no minimum quantity is guaranteed.

- (b) Closed Framework Agreement without rates.

A procuring agency may enter into a framework agreement without rates following the procedure for pre-qualification in accordance with rule 19 of the Balochistan Public Procurement Rules, 2014.

(c) Open Framework Agreement.

An open framework agreement means a framework agreement which provides that a supplier other than the initial supplier(s) may subsequently be a party to the agreement. For an open framework agreement, the procuring agency shall;

- (i) upon a request made by a potential supplier/contractor, communicate the terms and conditions of the framework agreement and any other relevant information;
- (ii) during the entire duration of the agreement, regularly but not later than three (3) months request for expression of interest from potential suppliers/contractors to be party to the agreement.

3. A Framework Agreement is an instrument of understanding between the procuring agency and the contractor/supplier/consultant containing terms and conditions applicable to the contract. It is normally based on an offer from a potential contractor/supplier/consultant to provide goods, works and/or services at pre-determined prices for a specific period of time when and if required, under set terms and conditions. No contract exists until a procuring agency issues an order against the Framework Agreement established.

4. Framework Agreements are used when a procuring agency repeatedly requires the same, goods, works or services; the actual demand may not be known in advance. It is also used when a need is anticipated for a range of goods, works or services for a specific period, but the actual demand is not known at the outset and delivery is to be made when a requirement arises.

5. Conditions for adopting the method of Framework Agreement;

(1) A procuring agency may choose to engage in a Framework Agreement procedure in accordance with these regulations, where it determines that:

- (a) The need for the subject matter of procurement is expected to arise on an indefinite or repeated basis during a given period of time;
- (b) By virtue of the nature of the subject matter of procurement, the need for that subject matter may arise on an urgent basis during a given period of time.

- (c) The items to be procured must satisfy the following;
- (i) strong and on-going (repeated or continuous) demand over a period of time, or
  - (ii) the time table or scope of work cannot be fully provided for in a normal procurement contract, or
  - (iii) where for economic, technical or financial reasons, the frequency or extent of the procuring agency's requirement cannot be determined with sufficient accuracy in the bidding document.
6. A framework agreement shall be entered into with at least three (3) suppliers/contractors.
7. A procuring agency shall specify in the bidding documents;
- (a) that the procurement is carried out under a framework agreement;
  - (b) that the framework agreement is concluded with one or more suppliers;
  - (c) the minimum or maximum limit of the number of suppliers that are parties to the agreement;
  - (d) the choice of the framework agreement in accordance with regulation 3;
  - (e) the terms and conditions of the framework agreement; and
  - (f) the process for short listing of suppliers where applicable, for the framework agreement.
8. Framework Agreements shall be used in a way that;
- (a) maximum value for money outcomes for public exchequer;
  - (b) there is transparency and fairness;
  - (c) will not prevent, restrict or distort competition;
  - (d) there is accountability;
  - (e) provides a degree of certainty for the vender without discriminating competition;
  - (f) contract set-up and other costs are minimized through a standard common contract agreement.
9. The procedure for framework agreement shall be as under:
- (a) The period of framework agreement shall maximum be one year, preferably a financial year to match with budget provisions and levy of taxes. It may be a shorter period, if variations in market prices are expected to be significant. The reasons for selecting the period for framework agreement shall be recorded.
  - (b) The procedure for entering into a framework agreement and award of work order fall in two stages and shall include the following, namely;



- (i) in the first stage one envelop or two envelop bidding procedure shall be invited in accordance with the provisions of rule 41 of Balochistan Public Procurement Rules, 2014.
- (ii) a framework agreement shall be entered, for price without a commitment for quantity, place and time of supply of subject matter of procurement, with the bidder of lowest evaluated bid.
- (iii) in the second stage supply or work order shall be placed at the contracted price for supply or execution of the required quantity of the subject matter of procurement mentioning the place of supply or execution, delivery schedule, etc., as and when needed.
- (iv) framework agreements may be entered with more than one bidder as parallel framework agreements provided there is such provision in the bidding documents, in the order of their standing in final evaluation, by giving them counter offer of prices of the lowest evaluated bidder, in order to secure prompt delivery of goods or services or execution of works, if the quantity of the subject matter of procurement required is beyond the capacity of the lowest bidder.
- (v) the terms and conditions of the framework agreement including provision for liquidated damages shall be similar to those prescribed for procurement by open competitive bidding.
- (vi) the prices under a framework agreement shall be subject to price fall clause. A clause regarding price fall shall be incorporated in the terms and conditions of framework agreement. Price fall clause is a price safety mechanism in framework agreements and it provides that if the framework agreement holder quotes / reduces its price to render similar goods, works or services at a price lower than the framework agreement price to anyone in the Province at any time during the currency of the framework agreement, the framework agreement price shall be automatically reduced with effect from the date of reducing or quoting lower price, for all delivery of the subject matter of procurement under that framework agreement and the framework agreement shall be amended accordingly. The firms holding parallel framework agreements shall also be given opportunity to reduce their price by notifying them the reduced price giving them fifteen days time to intimate their acceptance to the revised price. Similarly, if a parallel framework agreement holding firm reduces its price during currency of the framework agreement, its reduced price shall be conveyed to other parallel framework agreement holding firms and the original framework agreement holding firm for corresponding reduction in their prices. If any framework agreement holding firm does not agree to the reduced price, further transaction with it, shall not be conducted.
- (vii) except as otherwise provided in these regulations all other provisions of Chapter-II of Balochistan Public Procurement Rules, 2014 shall, mutatis mutandis, apply.

10. When a specific contract has been awarded on the basis of a framework agreement, neither the procuring agency nor the contactor / supplier shall include in the contract, terms that are substantially different from the terms laid down in that framework agreement.

**SECRETARY FINANCE  
GOVERNMENT OF BALOCHISTAN**

**The Chief Controller,  
Printing and Stationery Department,  
Balochistan, Quetta for publication.**

**No. & Date Even**

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2. The Senior Member/Member Board of Revenue, Balochistan.
3. The Principal Secretary to the Governor Balochistan.
4. The Principal Secretary to the Chief Minister, Balochistan.
5. The Chairman, Chief Minister's Inspection Team, Balochistan.
6. The Chairman, Balochistan Public Service Commission, Quetta.
7. All Administrative Secretaries to Government of Balochistan.
8. The Accountant General Balochistan, Quetta.
9. The Secretary, Balochistan Provincial Assembly, Quetta.
10. All Commissioners in Balochistan.
11. The Secretary, Provincial Mohtasib (Ombudsman) Secretariat, Balochistan, Quetta.
12. The Registrar, Balochistan High Court, Quetta.
13. The Additional Secretary (Staff) to the Chief Secretary, Balochistan.
14. Master File.

  
(MANAGING DIRECTOR)  
Balochistan Public Procurement Regulatory Authority